

Positive and normative are the two basic categories economists use to classify statements and theories.

Positive theory of economics is a branch of economic analysis concerned with describing how things are — how economic agents within society transact and behave given scarce resources. Positive economic statements are fact-based and can be verified or refuted by analyzing relevant data or evidence. The claim that a decline in the price level (deflation) will increase purchasing power, holding wages constant, is a positive economic statement. It can be tested by reviewing changes to the price level against changes in purchasing power while holding wages constant. Similarly, the claim that increasing capital-augmenting technology will increase capital owners' income, assuming labor and capital are substitutes, can also be tested by reviewing data. In fact, there is a growing body of empirical evidence consistent with this claim as it pertains to the use of artificial intelligence (AI) within certain industries and firms. At the firm level, a recent paper finds that firms most exposed to AI are substituting labor for AI spending at a striking rate — roughly \$1 of labor cost displaced for every \$0.03 spent on AI (Stevens, 2026). This substitution of labor for AI spending is consistent with a shift in income from labor toward capital, supporting the claim that capital-augmenting technology increases capital owners' income share where labor and capital are substitutes.

Normative theory of economics deals exclusively with statements and theories that are prescriptive in nature. They involve preferences based on values, policy

preferences, notions of fairness, and desired outcomes. Since they are rooted in preferences, disagreement is almost guaranteed. Normative statements often have a positive claim at their foundation as an assumption. AI increasing capital owners' income share has been used as a basis for universal basic income policy recommendations or giving labor equity interest in AI companies.

References

Stevens, R. (2026). Payrolls to prompts: Firm-level evidence on the substitution of labor for AI. arXiv. <https://doi.org/10.48550/arXiv.2602.00139>

Durkee, A. (2026, June 6). Universal basic capital: Why both Trump and Bernie Sanders want to give Americans AI equity. Forbes. <https://www.forbes.com/sites/alisondurkee/2026/06/06/could-americans-build-wealth-through-ai-why-trump-may-be-considering-equity-sharing-scheme/>